

UPTOWN CHARLOTTE

Multifamily Investment Analysis

Museum Tower Apartments | 525 S Church Street, Charlotte, NC

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Executive Summary

This report evaluates the investment potential of Museum Tower Apartments (525 S Church Street), a Class A, five-star high-rise multifamily asset located in the Uptown Charlotte submarket. The analysis draws on CoStar market data, comparable property transactions, demographic research, and a multi-scenario discounted cash flow model to assess risk-adjusted return potential over a five-year holding period.

Uptown Charlotte demonstrates materially stronger multifamily fundamentals than the broader Charlotte market, supported by population growth well above national averages, a dominant concentration of luxury inventory, four Fortune 500 corporate headquarters, and a thriving entertainment ecosystem. Museum Tower is the newest and highest-rent asset among its competitive set, with an asking rent of \$2,619/unit versus a weighted average of \$2,244 across comparable properties.

Under base case assumptions, the modeled IRR is 4.78% against an 8% target return, implying the property's current asking price of \$190.0M exceeds the DCF-implied value of \$165.8M. The deal does not pencil at current pricing under base or worst case assumptions. However, the best case scenario—assuming stronger rent growth and stable cap rate compression—approaches the hurdle rate at a 7.69% IRR, suggesting meaningful upside if submarket fundamentals continue to outperform.

Section 1: Submarket Analysis

Demand Economics

Uptown Charlotte's five-year population growth of 7.9% trails the broader Charlotte market (9.4%), but significantly outpaces the national index of 2.8%, indicating that the submarket is expanding at a healthy and above-average rate. Vacancy in Uptown stands at 8.0%, well below Charlotte's overall rate of 12.8%, and the 12-month net absorption rate of 25.7% outpaces the market's 16.4%. Taken together, these indicators reflect strong and sustained renter demand.

Investor sentiment reinforces this demand picture. The Uptown submarket recorded \$370 million in 12-month sales volume—the highest level in over a decade—signaling continued confidence in long-term fundamentals and robust market liquidity.

Supply Economics

The Uptown submarket currently contains approximately 8,400 units across 36 existing buildings, with 594 units under construction and 241 construction starts over the trailing 12 months. Notably, only 87 new units have been delivered since 2021, indicating a meaningful slowdown in supply additions. This constrained pipeline, combined with roughly 90% of existing inventory rated at four or five stars, supports premium pricing and limits competitive pressure on Class A assets.

Key Performance Indicators

- Occupancy: 91.89%
- Market Cap Rate: 5.35%
- 12-Month Sales Volume: \$370 million
- Average Price Per Unit: \$346,771
- Annual Rent Growth: –1.3% (near-term softness amid broader market conditions)

Submarket vs. Broader Market

Uptown Charlotte outperforms the broader Charlotte multifamily market across occupancy, investor activity, and leasing velocity. Its high concentration of luxury properties, proximity to major employment centers, and walkable entertainment amenities create a durable rent premium. The near-term negative rent growth of –1.3% warrants monitoring, but is consistent with a broader national trend of rent normalization following post-pandemic peaks and does not reflect a structural deterioration in submarket fundamentals. Limited new supply and declining vacancy assumptions support a return to positive rent growth over the projection period.

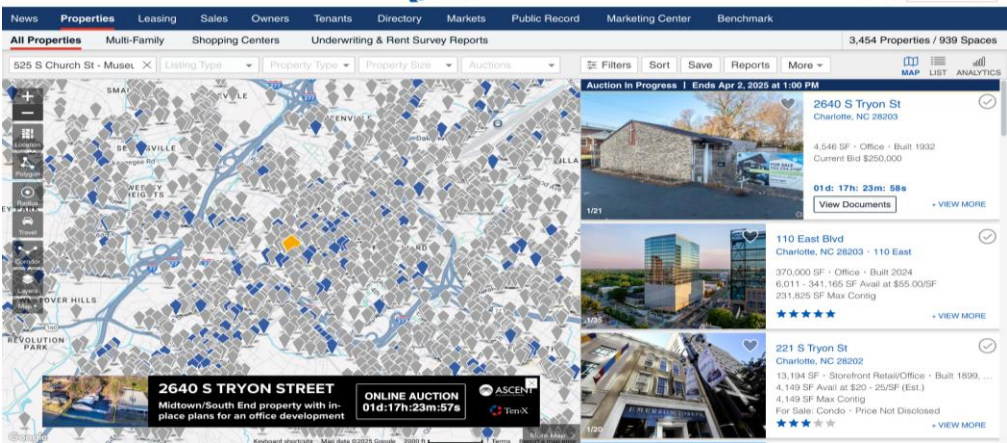
Section 2: Demographic Analysis

Given Uptown Charlotte's compact geography of just over two square miles, this analysis focuses on a two-mile radius, which captures the most relevant renter pool for Museum Tower.

The area skews young and affluent. The median age is 33, with a strong concentration of residents in the 25–34 and 35–44 age cohorts—a demographic profile well-suited to luxury multifamily demand. Average household income within this radius is \$115,932, and median household income is \$87,287, both indicative of substantial disposable income. Over 17,000 households within two miles earn \$100,000 or more annually, and residential home values in the area range from \$500,000 to over \$1 million, further affirming the premium character of the submarket.

Population density increases sharply beyond the immediate core: 71,227 residents within two miles expands to 264,506 at five miles and 783,903 at ten miles. This density gradient reflects Uptown's position as an employment and lifestyle anchor, and suggests a meaningful feeder population of prospective renters attracted to the submarket over time.

Section 3: Location Analysis



Uptown Charlotte is the region's primary employment node and home to the headquarters of four Fortune 500 companies. The submarket offers exceptional walkability, with museums, performing arts venues, and stadiums for three professional sports teams within walking distance. Nearly 90% of apartment units are high-end properties, and average rents across the submarket are approximately \$2,020/month, making it one of the most expensive multifamily submarkets in Charlotte.

Museum Tower Apartments occupies a particularly differentiated position: the building sits atop the Mint Museum, North Carolina's first art museum and a nationally recognized institution of art and design. This physical integration with a cultural amenity is unique among comparable properties and offers residents an experience not available elsewhere in the submarket. Combined with the property's status as one of the newest high-rises in Uptown, this distinction justifies a rent premium relative to peers and supports lower-than-average long-term vacancy.

Section 4: Comparable Property Analysis

Leasing Comparables

Four properties were identified as leasing comparables based on proximity, unit count, and quality tier. Museum Tower commands the highest asking rent per unit among all comparables at \$2,619—approximately \$282 above the weighted average of \$2,244 and \$300 above the next-highest comparable. This premium is attributable to the property's superior amenity package, unique Mint Museum integration, and status as the newest asset in the competitive set. Its vacancy rate of 8.5%, while slightly elevated relative to peers, reflects the rent premium rather than weakening demand.

Property	Asking Rent/Unit	Vacancy Rate	Units
525 S Church St (Subject)	\$2,619	8.5%	394
255 W Martin Luther King Jr. Blvd	\$1,968	7.9%	462
401 S Graham St	\$2,259	6.7%	195
225 S Poplar St	\$2,024	5.7%	300
400 E Brooklyn Village Ave	\$2,337	6.3%	459
Weighted Average	\$2,244	—	1,810

Sales Comparables

Four recent transactions were identified as sales comparables. Museum Tower's most recent transaction in October 2024 at \$153.5M reflects a price per square foot of \$488.23, materially above all comparable sales. This premium is consistent with the asset's vintage, quality, and location. Cap rates were unavailable for most comparables, with the exception of 425 W Trade St (4.00%, July 2021), which predates the current rate environment and is of limited relevance to current underwriting.

Property	Date	Price	Cap Rate	Price/SF
525 S Church St (Subject)	Oct 2024	\$153.5M	—	\$488.23
355 W MLK Jr. Blvd	May 2022	\$165.0M	—	\$383.81
512 N College St	Jun 2024	\$180.6M	—	\$377.92
225 S Poplar St	Dec 2022	\$137.9M	—	\$408.98
425 W Trade St	Jul 2021	\$64.1M	4.00%	\$300.91

Potential drivers of future rent growth include: increased demand from high-income renters willing to pay for amenity-rich living; reduced competitive supply as new luxury deliveries remain constrained; follow-on rent increases across the comparable set; and targeted unit renovations or amenity enhancements that support rent repositioning on a case-by-case basis.

Section 5: Investment Assumptions & Pro Forma

Key Assumptions

The base case projection uses 2025 as the anchor year, with the following rationale for each assumption category:

Rent Growth: The base case starts at 2.50% in Year 1, tapering to 2.00% by Year 6. This reflects Museum Tower's recent trailing rent growth of 2.7% while accounting for long-term mean reversion toward stabilized growth as the property matures within its competitive set. It is intentionally conservative relative to recent performance given the current environment of modest negative rent growth across the broader submarket.

Vacancy: Current building vacancy is 8.5%, modestly above the submarket average of 8.0%. The base case projects a gradual decline to 6.5% by Year 6, consistent with strengthening submarket demand, population growth, and limited new supply. This trajectory aligns with the submarket's historical occupancy performance and is supported by Museum Tower's differentiated positioning.

Operating Expenses: Base case growth is 4% in Years 1–2, moderating to 3% in Years 3–6. The higher initial rate reflects near-term inflationary pressures, particularly in labor and insurance, while the step-down accounts for expected cost stabilization. Expenses compound year-over-year, consistent with standard pro forma methodology.

Cap Rate: Museum Tower did not transact with a disclosed cap rate. The going-in rate of 5.35% is derived from the Uptown submarket's current market cap rate. The base case going-out cap rate of 5.85% reflects a 50-basis-point expansion over the holding period, reflecting potential rate environment uncertainty and asset aging. This is consistent with typical underwriting convention for a five-year hold.

Assumption	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6
Rent Growth Rate	2.50%	2.35%	2.20%	2.15%	2.05%	2.00%
Vacancy Rate	8.0%	7.5%	7.2%	6.9%	6.7%	6.5%
OpEx Growth Rate	4.0%	4.0%	3.0%	3.0%	3.0%	3.0%
Going-out Cap Rate	—	—	—	—	—	5.85%

Pro Forma Summary (Base Case)

	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6
Potential Gross Income	\$12,883K	\$13,186K	\$13,476K	\$13,765K	\$14,048K	\$14,329K
Less: Vacancy	(\$1,031K)	(\$989K)	(\$970K)	(\$950K)	(\$941K)	(\$931K)
Effective Gross Income	\$11,852K	\$12,197K	\$12,505K	\$12,816K	\$13,106K	\$13,397K
Total Operating Expenses	(\$1,687K)	(\$1,755K)	(\$1,772K)	(\$1,826K)	(\$1,881K)	(\$1,917K)
Net Operating Income	\$10,165K	\$10,442K	\$10,733K	\$10,990K	\$11,225K	\$11,480K
Less: CAPEX	(\$383K)	(\$398K)	(\$410K)	(\$422K)	(\$435K)	(\$448K)
Before-Tax Unlevered CF	\$9,782K	\$10,044K	\$10,323K	\$10,568K	\$10,790K	\$11,032K

Scenario Analysis

Three scenarios were modeled to bracket the range of outcomes. The worst case reflects higher vacancy, lower rent growth, and cap rate expansion to 6.35% (100bps above going-in). The best case assumes stronger rent growth (4.0% in Year 1, tapering to 2.5%), tighter vacancy, and a stable going-out cap rate equal to the going-in rate of 5.35%.

Metric	Base Case	Worst Case	Best Case
Purchase Price	\$190.0M	\$187.3M	\$197.4M
Going-in Cap Rate	5.35%	5.35%	5.35%
Going-out Cap Rate	5.85%	6.35%	5.35%
Yr 1 NOI	\$10,165K	\$10,020K	\$10,559K
Yr 5 NOI	\$11,225K	\$10,896K	\$12,277K
IRR	4.78%	2.97%	7.69%
DCF Value	\$165.8M	\$151.3M	\$194.8M
Net Sale Proceeds	\$183.5M	\$163.5M	\$221.6M

The base and worst case IRRs (4.78% and 2.97%, respectively) fall below the 8% target return, with DCF-implied values of \$165.8M and \$151.3M against a purchase price of approximately \$187–\$190M. This gap suggests the asset is currently priced above what is justified by cash flow fundamentals at the target return. The best case approaches the hurdle at 7.69%, indicating the deal could be viable if submarket dynamics outperform—but leaves limited margin for error. Prospective investors should weigh whether the quality and location of the asset justify accepting a below-target unlevered return, or negotiate pricing toward the DCF-implied value.

Visuals & References

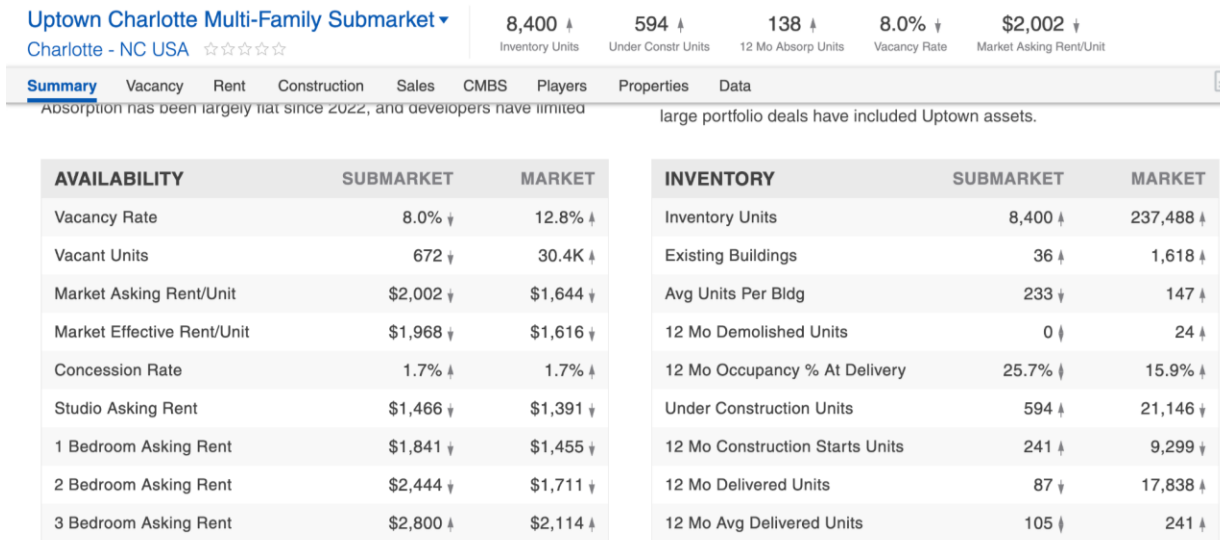
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Uptown Charlotte Multi-Family Submarket ▾ Charlotte - NC USA ☆☆☆☆☆		8,400 ↓ Inventory Units	594 ↓ Under Constr Units	138 ↓ 12 Mo Absorp Units	8.1% ↓ Vacancy Rate	\$2,020 ↓ Market Asking Rent/Unit
Summary Vacancy Rent Construction Sales CMBS Players Properties Data						
3 Bedroom Asking Rent		\$2,007 ↓	\$2,110 ↓	12 Mo Avg Delivered Units		100 ↓ 207 ↓
SALES		SUBMARKET		MARKET		
Market Sale Price/Unit		\$347K ↓		\$242K ↓		
12 Mo Asking Sale Price/Unit		-		\$231K ↓		
12 Mo Sale to Asking Price Diff		-		-11.4% ↓		
Market Cap Rate		5.2% ↓		5.3% ↓		
12 Mo Sales Volume		\$370M ↓		\$2.7B ↓		
12 Mo Transactions		4 ↓		90 ↓		
Months To Sale Past Year		-		4.6 ↓		
For Sale Listings		0 ↓		13 ↓		
For Sale Units		0 ↓		292 ↓		
DEMAND		SUBMARKET		MARKET		
12 Mo Absorption Units		138		13,914		
12 Mo Absorption % of Inv		1.6%		6.1%		
Population Growth 5 Yrs		7.9%		9.4%		
Pop Growth 5 Yrs 20-29		-43.8%		6.4%		
Pop Growth 5 Yrs 30-39		-2.3%		3.0%		
Pop Growth 5 Yrs 40-54		48.7%		7.5%		
Pop Growth 5 Yrs 55+		19.4%		18.5%		

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Charlotte - NC USA ▾ Multi-Family Market ☆☆☆☆☆		237,071 ↓ Inventory Units	21,498 ↓ Under Constr Units	14,293 ↓ 12 Mo Absorp Units	12.8% ↓ Vacancy Rate	\$1,643 ↓ Market Asking Rent/Unit	\$238K ↓ Market Sale Price/Unit	5.4% ↓ Market Cap Rate
Summary Vacancy Rent Construction Sales Economy CMBS Players Submarkets Data								
3 Bedroom Asking Rent		\$2,112 ↓	\$2,260 ↓	12 Mo Avg Delivered Units		239 ↓	168 ↓	
SALES		MARKET		REGIONAL INDEX				
Market Sale Price/Unit		\$238K ↓		\$226K ↓				
12 Mo Asking Sale Price/Unit		\$229K ↓		\$179K ↓				
12 Mo Sale to Asking Price Diff		-11.0% ↓		-8.0% ↓				
Market Cap Rate		5.4% ↓		6.2% ↓				
12 Mo Sales Volume		\$2.9B ↓		\$110B ↓				
12 Mo Transactions		97 ↓		14,976 ↓				
Months To Sale Past Year		4.4 ↓		5.5 ↓				
For Sale Listings		14 ↓		8,238 ↓				
For Sale Units		314 ↓		126,668 ↓				
DEMAND		MARKET		REGIONAL INDEX				
12 Mo Absorption Units		14,293		553,439				
12 Mo Absorption % of Inv		6.2%		2.7%				
Median Household Income		\$84,005		\$80,509				
Population Growth 5 Yrs		9.4%		2.8%				
Pop Growth 5 Yrs 20-29		6.4%		-0.4%				
Pop Growth 5 Yrs 30-39		3.0%		-0.1%				
Pop Growth 5 Yrs 40-54		7.5%		3.8%				
Pop Growth 5 Yrs 55+		18.5%		7.2%				

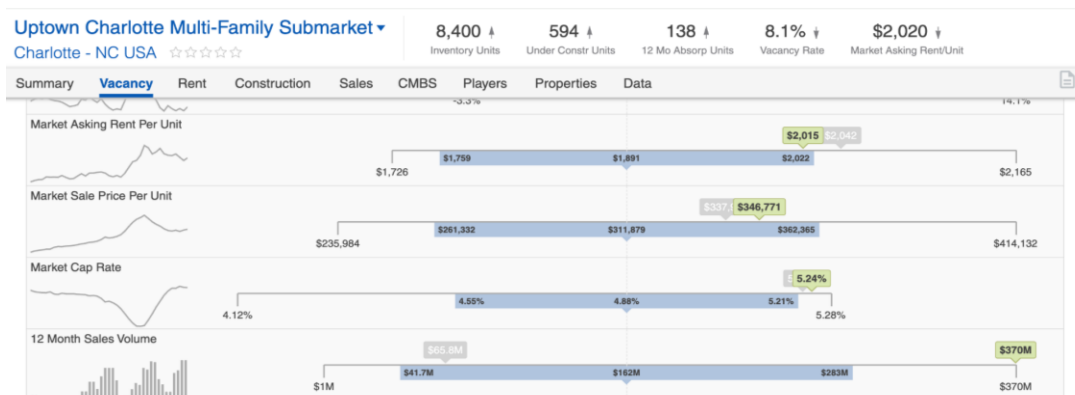
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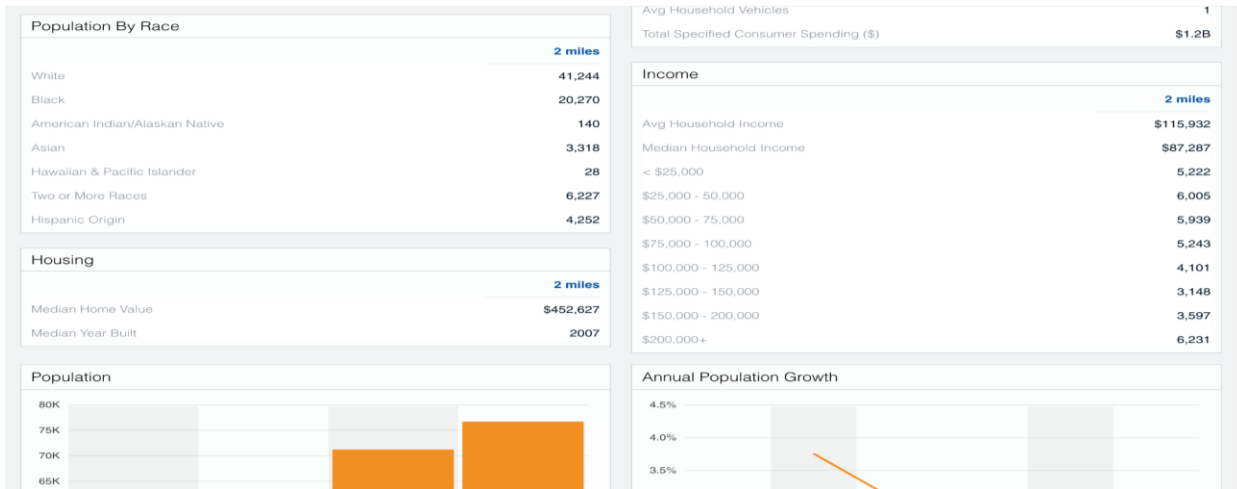
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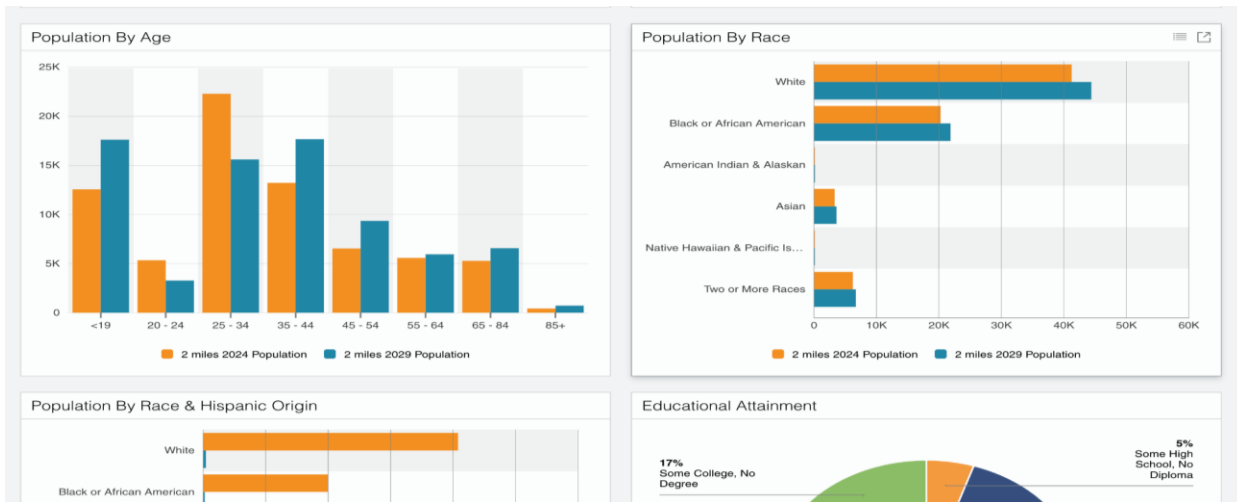
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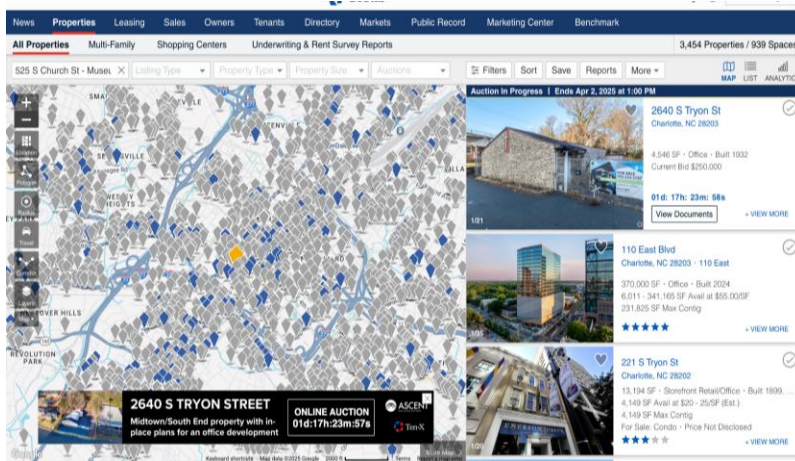
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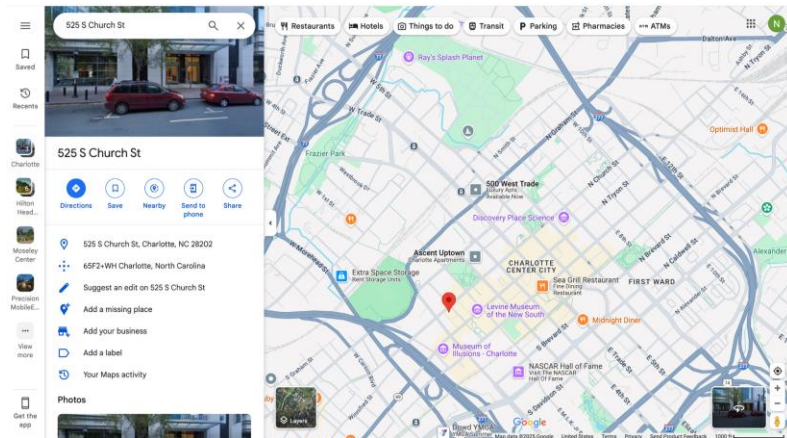
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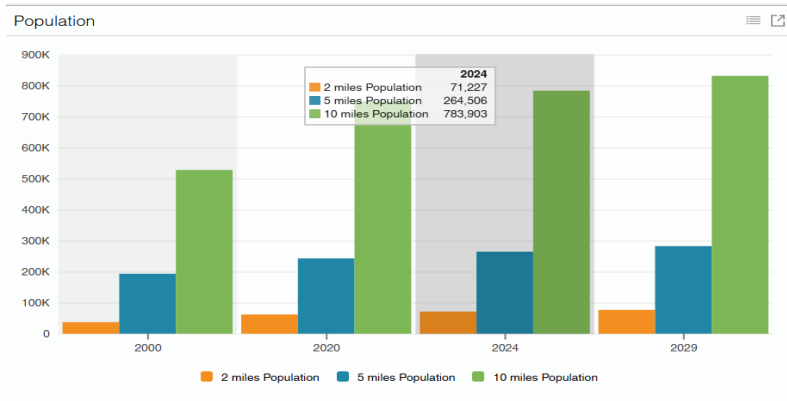
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